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A Review of the Rent Tax Credit



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A Review of the Rent Tax Credit

October 2025

SUMMARY AND KEY MESSAGES¹

The Rent Tax Credit (RTC) was introduced to help renters deal with the rising cost of living

- > The RTC was introduced in 2022 at a rate of €500 and then gradually increased to the current rate of €1,000 for single taxpayers.
- > The cost of the RTC in 2023 was €184 million and the estimated total cost is likely to reach €1.1 billion by 2025 over the four years.
- > The estimate cost for 2024 and 2025 is c. €350 million in each year, which would make the RTC one of the top ten costing tax expenditures for 2024.
- > Based on current projections for the number of renters, the RTC is estimated to cost €450 million per annum by 2035 if the rate is held at €1,000.

The imbalance between demand and supply of rental properties is expected to persist

- > The share of private rental households increased from 7 per cent to 18 per cent of total households between 1991 and 2022, with a projected increase of 80 per cent reaching around 600,000 private rental households by 2065.
- > Listed rental stock has declined to around 10 per cent of the post Global Financial Crisis peak in 2009 and are less than half of the listed properties just before the Covid-19 pandemic.

Take-up rate is high, especially among younger cohorts

- > In 2022, individuals claiming the RTC were more than 90 per cent of the initially estimate of 400,000 beneficiaries made at the time of its introduction.
- > The most represented cohorts among RTC claimants are young adults between 21 and 40 years old, residents in Dublin, and single persons.

Further increases in the credit will mostly benefit the higher incomes

- > 7 per cent of taxpayer units claiming the RTC had an income over than €100,000 in 2022.
- > Making the RTC more generous would only represent an additional benefit for taxpayer units in sixth decile or upper.

The policy aims to address the symptoms but not the root causes of the rental market crisis

- > The lack of targeted beneficiaries and the significant exchequer cost raise concerns about the suitability of the RTC as tax expenditure rather than a direct expenditure.
- > The existing application process is easy to complete but does not require the collection of necessary details for review.
- > More detailed data availability would provide a significant improvement to future evaluations of the RTC.

¹ The analysis undertaken in this review was finalised in May 2025. Data or analysis published after this date has therefore not necessarily been captured in this paper. Any future iterations of this review will seek to reflect the latest available data and relevant analysis.

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² The data and analysis set out in this document are compiled by Department of Finance staff. It does not necessarily reflect the views of the Minister for Finance or the Irish Government.

Every effort is made to ensure accuracy and completeness. If errors are discovered, corrections and revisions are incorporated into the digital edition available on the Department's website. Any substantive change is detailed in the online version.

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Section 1: Introduction

In a context of increasing population, economic growth, and under-supply of housing in the aftermath of the Global Financial Crisis, many renters have been faced with difficulties in accessing accommodation and affording rent in Ireland. Addressing imbalances in the housing market by increasing the supply of housing remains a key priority of the Government.³ The Rent Tax Credit (RTC) was introduced in 2022 with the aim of providing financial assistance to private tenants.

The RTC has now been available for four years. Successive budgets have increased the amount in which renters can claim, and take-up rates are high. The Programme for Government 2025 committed to “progressively increase the RTC”.

Moreover, the experience with the previous tax credit (introduced in 1982) showed that measures like these are potentially difficult to change, downsize, or even revert in short timeframes once embedded in the system of existing reliefs. Hence, it is particularly important to assess the impact and the continued relevance of the RTC.

This review provides for a timely opportunity to assess the tax credit across the past four years it has been available. In detail, it shows findings from the first year and draws initial conclusions regarding its appropriateness and value for money through the analysis of available administrative data. The review also considers the context and rationale for the tax credit including the current rental market as well as an assessment of the distributional impact of the tax credit.

The report is structured as follows. Section 2 documents the background to the RTC, including a description of the policy, its history and motivation, as well as the rationale for this review. Section 3 provides an overview of the rental and housing market in Ireland. Section 4 covers the data analysis conducted to review the policy instrument. Section 5 discusses the main findings. Section 6 concludes.

³ See also “Medium-Term Fiscal and Structural Plan. October 2024”. Available at <https://assets.gov.ie/static/documents/medium-term-fiscal-and-structural-plan.pdf>

Section 2: Background of the Rent Tax Credit

The RTC was announced by the Minister for Finance in *Budget 2023* and is provided for by section 473B of the Taxes Consolidation Act (“TCA”) 1997. The RTC was introduced to assist renters, specifically those who do not receive other housing supports from the State, reflecting a policy effort to assist with affordability for private tenants.

2.1. Policy context

Prior to the current RTC, a similar policy instrument existed in Ireland aimed at providing relief from income tax in respect of rent paid. The “Rent Relief for Private Rented Accommodation” was introduced in the Finance Act 1982 and was subsequently amended, until being withdrawn during the financial crisis in 2010, and being phased out between 2011 and 2017. At its peak in 2008, it cost €97 million and was used by 220,000 taxpayer units.⁴ The Commission on Taxation reviewed the credit in 2009 and concluded that the net effect of the rent relief was to increase the cost of private rented accommodation and, as a result, recommended that the rent relief should be discontinued.⁵

The new RTC was introduced in Finance Act 2022 at a rate of €500 for singly assessed taxpayers and €1,000 for jointly assessed units (retrospective for 2022 claims) and was available to those who rent their principal private residence, and in certain other circumstances. It was subsequently amended in Finance Act 2023, by increasing the credit from €500 to €750 for single persons and from €1,000 to €1,500 for a jointly assessed couple. Finally, in its current version as per the Finance Act 2024, the RTC was further increased to €1,000 for single taxpayers and to €2,000 for jointly assessed couples, applying to claims for 2025 and – retrospectively – for 2024 as well.

At the time of introduction, it was estimated that 400,000 people would benefit from the credit and the Exchequer cost would be €200 million per annum. Latest available data from Revenue shows that taxpayer units benefitting from the tax credit were 273,000 in 2022 and 315,000 in 2023, costing €156 million in 2022 and €183 million in 2023. More detailed information is available for the first year (i.e., 2022) and shows that that 314,000 taxpayer units claimed the RTC⁶ – corresponding to c. 372,000 individuals.⁷

In the Programme for Government 2025⁸, the Government commits to “progressively increase the RTC”. Revenue estimates that the additional cost to the exchequer from the increased credit in 2026 would be €25 million with a €100 increase for single persons, €125 million with a €500 increase, and €195 million with a €1,000 increase for single persons⁹ (previous increases amounted to €250 both in 2023 and 2024).

⁴ [Cost of Tax Expenditures](#)

⁵ <https://researchrepository.ucd.ie/entities/publication/d743e2c1-5223-4cff-aef6-0adced78ee6>

⁶ It should be noted that most claims for credits by PAYE taxpayers take place after the year-end, and they have four years in which to do so.

⁷ A taxpayer unit is either an individual with any personal status who is singly assessed or a couple in a marriage or civil partnership who have elected for joint assessment. Therefore, the number of people claiming the RTC is greater.

⁸ [Programme for Government 2025 – Securing Ireland’s Future](#)

⁹ [Revenue Ready Reckoner – Pre Budget 2026](#)

2.2. Main elements and requirements of the relief

The RTC reduces the amount of Income Tax that the taxpayer is due to pay for a tax year. The tax credit is granted at 20 per cent of the annual rent paid; however, the maximum amount that can be claimed for 2024 and 2025 is €2,000 for a jointly assessed couple or €1,000 for all other cases, while for 2022 and 2023 it is €1,000 for a jointly assessed couple or €500 for all other cases.

The current RTC is non-refundable, which means that where a claimant has insufficient income tax liability to absorb the credit, they will not be able to avail of this policy instrument. **Table 1** highlights the entry point to tax including and excluding the RTC.

Table 1: Entry point to tax for a Single Person including and excluding the RTC				
	2022	2023	2024	2025
Single Person Tax Credit	€1,700	€1,775	€1,875	€2,000
Employee Tax Credit	€1,700	€1,775	€1,875	€2,000
Total Credits	€3,400	€3,550	€3,750	€4,000
Entry point to tax <u>excluding</u> RTC	€17,000	€17,750	€18,750	€20,000
RTC - single person (max)	€500	€500	€1,000	€1,000
Total Credits	€3,900	€4,050	€4,750	€5,000
Entry point to tax <u>including</u> RTC	€19,500	€20,250	€23,750	€25,000

Source: Department of Finance

Various conditions must be met in order for the claimant to be eligible for the credit, but it is broadly available where the claimant – or their spouse or civil partner where they are jointly assessed to tax – makes a qualifying payment during the course of the tax year of assessment in respect of:

- > the claimant's principal private residence;
- > a 'second home' which the claimant uses to facilitate their attendance at, or participation in, their employment, office holding, trade, profession or an approved course; or
- > a residential property used by the child of the claimant and/or of the claimant's spouse or civil partner to facilitate that child's attendance at, or participation in, an approved course, provided that the child was under 23 at the start of the tax year in which they first commenced an approved course.

2.3. Rationale for the Review

A review of the RTC is required in accordance with the Department of Finance's Guidelines on Tax Expenditure Evaluation.¹⁰ They provide for a proportionate approach to evaluation, whereby the type and frequency of reviews undertaken depend on their cost and sunsets of the relevant tax expenditures. All new tax expenditure legislation must include a sunset clause, which will trigger a review depending on what level the tax expenditure is allocated. The Guidelines also state the principle that tax expenditures should be used in limited circumstances where a demonstrable market failure exists and the measure is more efficient than a direct expenditure intervention.

The RTC is a relatively recent policy instrument and using latest data suggests that its annual cost would require the highest level of review (Level 3) in advance of its sunset date. This implies an interim

¹⁰ Department of Finance, 2024. Guidelines for Tax Expenditure Evaluation. [Budget 2025 - Tax Expenditures Evaluation - Updated Guidelines](#)

review of the effectiveness and efficiency of the scheme to be carried out after three years from its inception, which aligns with the timing of the analysis conducted herein.

Moreover, in light of the recent commitment to “*progressively increase the RTC*” included in the Programme for Government 2025¹¹ and the changes in the Rent Pressure Zones¹², it is important to assess the impact and the continued relevance of this tax expenditure policy instrument.

The key questions which guided this review are the following:

1. What is the market failure, and does the relief address it?
2. Do the costs of the scheme outweigh its benefits?
3. What is the deadweight associated with the scheme?
4. What is the economic impact of this relief – i.e., is it cost effective?
5. What is the impact of the relief from an equality and environmental perspective?
6. What additional data would be necessary to improve future reviews?

¹¹ [Programme for Government 2025 - Securing Ireland's Future](#)

¹² [Rent Pressure Zones](#)

Section 3: The Rental Market Context

3.1. Introduction

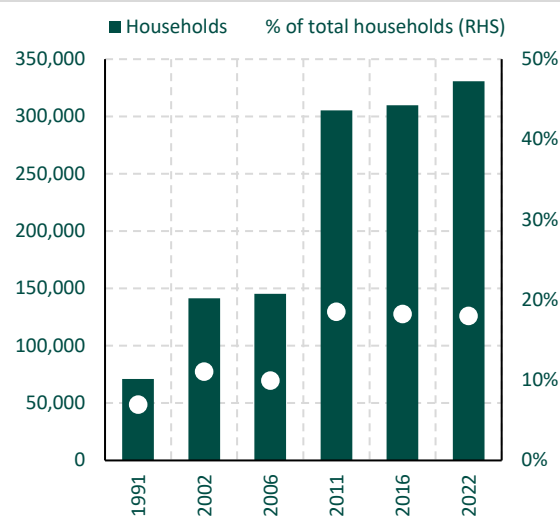
The RTC is aimed at alleviating the rising cost of living faced by renters, in the midst of the ongoing housing crisis. For this reason, it is important to gain a better understanding of the existing state of the Irish rental market, and of its possible evolution.

3.2. Housing and rental market overview

The number of people living in private rented accommodation has increased in Ireland in recent decades, both in overall terms and as a proportion of the wider population. Between 1991 and 2022, the number of private rental households increased by almost 260,000. The share of renters increased as well: from 7 per cent of total households in 1991, to 18 per cent of all households by 2022, a share that has held relatively steady over the past decade (**figure 1A**). Moreover, private rental households are forecasted to grow steadily over the coming decades, in line with robust population growth, falling household size¹³, and on the basis of a constant share of private rental household to homeowners. This trend is likely to continue, with a projected increase of 80 per cent in private rental households over the next forty years on that basis – that is, reaching around 595,000 private rental households by 2065 (**figure 1B**).

Figure 1: Rental Households

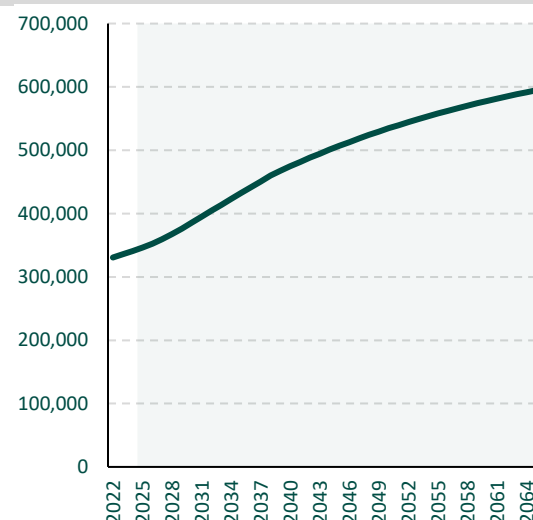
A: number of private rental households 1991-2022



Note: Census 1991 & 2002 do not separate voluntary housing associations from general private rental sector.

Source: CSO

B: projected private rental households 2022-2065



Source: CSO, Department of Finance calculations

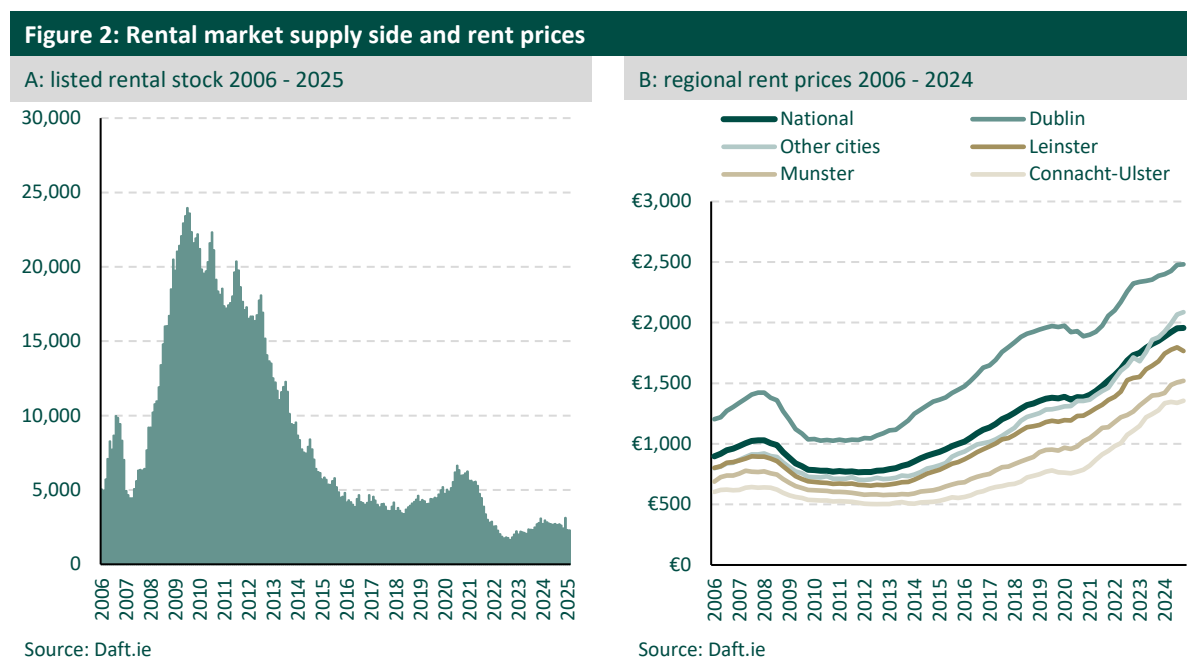
The increase in households seeking to rent has been accompanied by a decline in listed rental stock in the period following the Global Financial Crisis (GFC) and COVID-19 pandemic. Although national advertised rental stock averaged around 8,500 units over the sample period, there were just 2,281 properties listed to rent on Daft.ie as of February 2025. This is around 10 per cent of the post GFC peak, and less than half the 5,015 listed in February 2020 just before the pandemic (**figure 2A**).

While a longer-term trend of increasing demand exists for rental properties, supply has not kept pace for a combination of reasons, including an elevated period of interest rates, viability, and regulatory

¹³ See also [Department of Finance's Economic Insights of Spring 2022](#)

barriers. This imbalance in demand and supply has contributed to a pronounced increase in rent price inflation over the past decade.

Rent price inflation has been positive across all regions, but noticeably higher in urban areas where opportunities for employment are greater. Average new listed rents in Dublin were close to €2,500 per month in Q4 2024 and €2,087 per month in other cities.¹⁴ These figures are 27 per cent (Dublin) and 7 per cent (other cities) higher respectively than the national average; and 83 and 54 per cent higher respectively than Connacht-Ulster, which is the area with lowest rent prices (**figure 2B**).

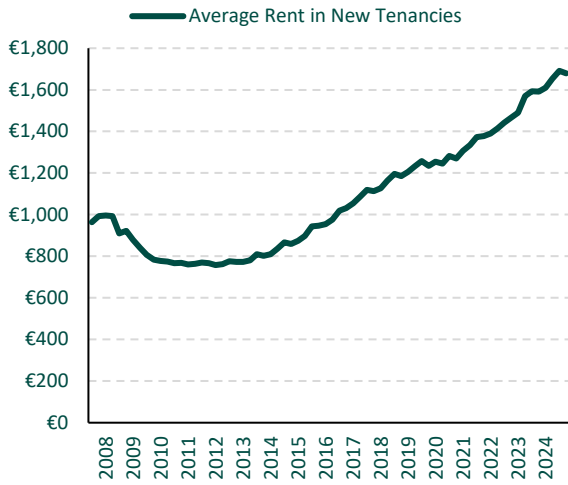


Data from the Residential Tenancies Board (RTB) further highlights rent inflation. National average rent for new tenancies at c. €1,700 per month in Q4 2024 represent an increase of over 35 per cent in five years, and over 95 per cent in ten years according to data from the RTB (**figure 3A**). RTB data also highlights disparities between new and existing renters. Rents for existing tenancies increased 14 per cent between Q2 2022 and Q4 2024, while new tenancies saw average rent prices increase by almost 19 per cent (**figure 3B**). Nominally, average rents for new tenancies have increased approximately 50 per cent more than existing tenancies.

¹⁴ Namely, Cork City, Limerick City, Galway City, and Waterford City. See also [The Daft.ie Rental Price Report](#)

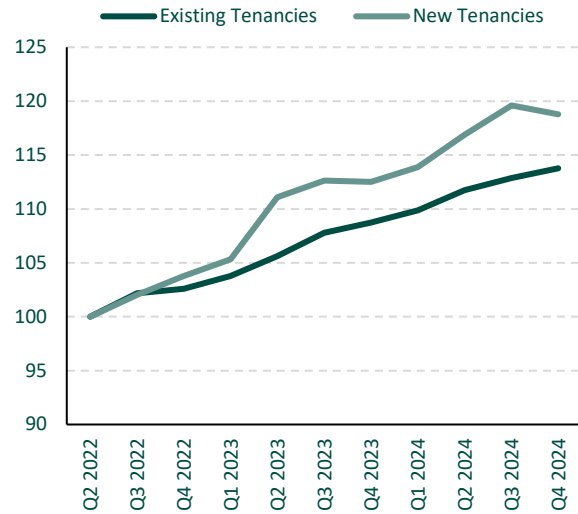
Figure 3: Rent price inflation

A: average rent for new tenancies Q2 2007 – Q4 2024



Source: RTB

B: average existing vs new tenancies rents, index

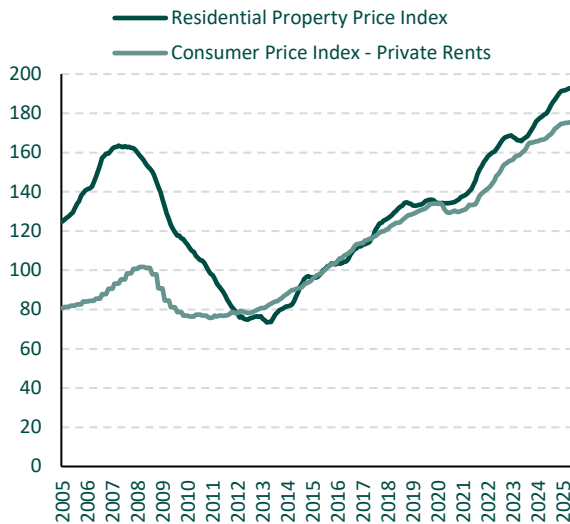


Source: RTB

Moreover, house prices are two and half times higher than 2014 and rent price inflation has moved broadly in step with those developments over the last decade (**figure 4A**). While the imbalance in supply and demand for housing is ongoing, it will likely be reflected in continued price pressures, and a continuation of the current trend for stable house price to rent ratio (**figure 4B**) would mean rent prices would continue developing in a broadly similar manner.

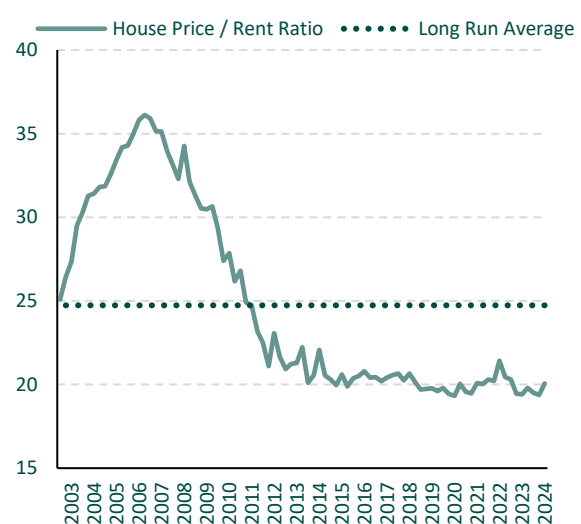
Figure 4: House price inflation

A: house price inflation vs rent inflation, base year 2015



Source: CSO

B: house price to rent ratio



Source: CSO, RTB

In terms of affordability, average new rents were 35 per cent or more of mean disposable income for rental or rent-free households¹⁵ for the years 2020-2025 (**figure 5A**). This is significant as 35 per cent of disposable income is sometimes used as threshold for housing “affordability”. Indeed, when looking at 2024 data, it is apparent that where market rents are paid by households in the first four income deciles – accounting for 57 per cent of all renters – payments are above the affordability-threshold share of their disposable income (**figure 5B**).¹⁶

Figure 5: Affordability and household income

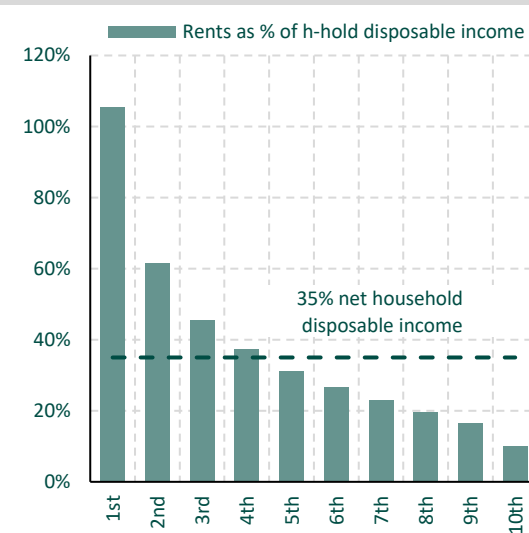
A: average new rents to mean HH disposable income



Note: Income is derived from EU SILC data for renting or rent-free households.

Source: RTB, CSO

B: rent as share of HH disposable income by decile 2024



Source: RTB, CSO

¹⁵ The tenure status is provided by the respondent during the SILC interview and responses are classified into the following two categories: “Owner-occupied” and “Rented or rent free”. The latter category covers households living in housing units rent-free, i.e. where no rent is paid, and includes cases where the free rent is granted (a) by law; (b) as a result of a social housing scheme; (c) for private reasons; (d) by an employer – see also [Background Notes Survey on Income and Living Conditions \(SILC\) 2024 - Central Statistics Office and Standardised-key-social-variables.pdf](#).

¹⁶ It should be considered that state-supported rent allowances are generous in Ireland when compared to other countries, hence it is likely that renters in the first deciles are recipient of such supports (see also [OECD Economic Surveys: Ireland 2025 | OECD](#)).

Section 4: Data analysis

4.1. Introduction

The RTC has been available for close to four years. Given its recent introduction, administrative data on its use is still limited and refers to the first year of the policy instrument being in place. Nevertheless, preliminary evidence can provide some insights about the characteristics of the RTC claimants. Moreover, findings from the analysis conducted with the SWITCH model illustrate the potential distributional impact of the existing RTC and possible future increases in the amount of relief.

4.2. Latest administrative data – Revenue

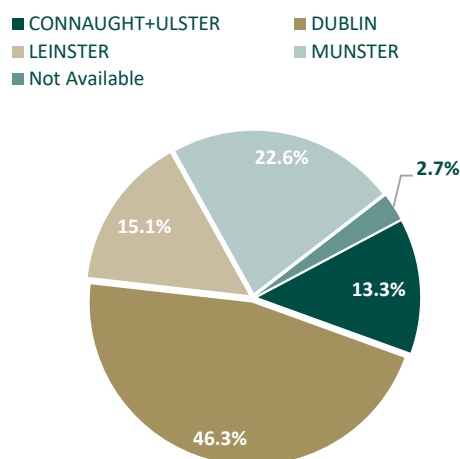
Revenue data shows that 313,980 taxpayer units claimed the RTC in 2022 – corresponding to c. 372,000 individuals¹⁷, that is 93 per cent of the estimate of 400,000 individuals made at the time of the RTC introduction. A total of €181 million in value was claimed in 2022, and of that amount, the exchequer cost amounted to €156 million due to the fact that 273,000 taxpayer units actually had an income tax liability to offset against the credit and therefore benefit from the credit.

Almost half of the RTC claimants reside in County Dublin (**figure 6A**), while an additional 15 per cent resides in the rest of Leinster province. The remaining provinces (Munster, Connaught and Ulster) jointly account for slightly more than a third of all RTC claims.

In terms of age, the largest group of claimants are young adults between 21 and 30 years old, followed by those between 31 and 40 years old. The data also provides insightful information about the rate of RTC claimed amount actually used (**figure 6B**), meaning that the discrepancy between credit claimed and credit used is higher for the youngest, and tend to decrease as the claimants' age increases. This evidence seems to be consistent with findings relative to income distribution as showed in **figure 8B**, since a lower income is generally associated with a lower age.

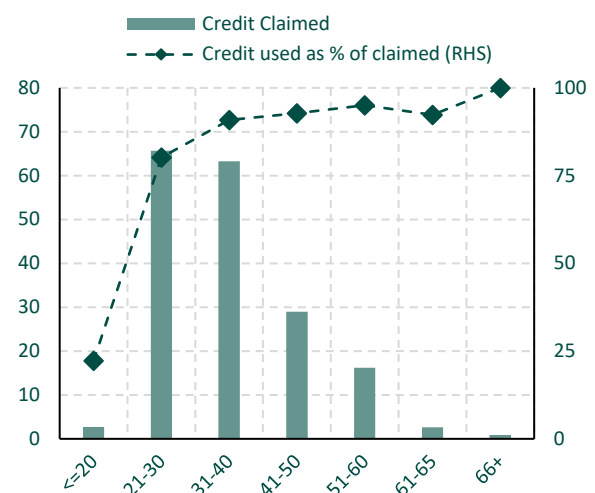
Figure 6: Demographics of claimants and beneficiaries of RTC, 2022

A: shares of claimants by geographic location



Note: Number of claimants represented is 313,980 (i.e., 100 per cent of the RTC claimants).

B: credit claimed and used by age group, €m and % (RHS)



Note: Tot. represented claimed amount is €180.4m, corresponding to 313,760 claimants (i.e., around 100 per cent of the RTC claimants).

Source: Revenue Commissioners; Analysis by Department of Finance

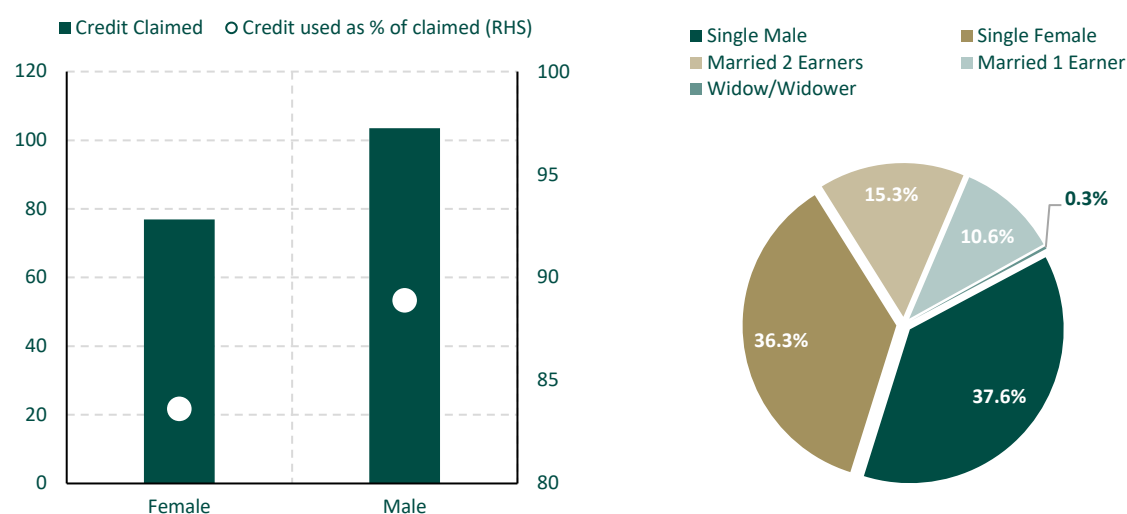
¹⁷ A taxpayer unit is either an individual with any personal status who is singly assessed, or a couple in a marriage or civil partnership who have elected for joint assessment. According to Revenue data, more than 80% of the RTC claimants were singly assessed in 2022.

Figure 7 below depicts RTC claims by gender and marital status: in particular, men seem to claim almost €27 million more than women, even though – when looking at single individuals only – male and female shares over all claimants are similar and jointly consist of almost two thirds of all RTC claimants. Both women and men used a large share of the credit claimed; however, female share is lower than the male share, representing the 84 per cent and the 89 per cent of credit claimed, respectively. The difference between genders is not substantial and could be explained by earnings of women being on average lower than that of men, or potentially that men are more likely to be the assessable spouse.¹⁸

Figure 7: Claimants and beneficiaries of RTC by gender and marital status, 2022

A: credit claimed and used by gender, €m and % (RHS)

B: shares of claimants by marital status



Note: Tot. represented claimed amount is €180.4m, corresponding to 313,770 claimants (i.e., around 100 per cent of the RTC claimants).

Source: Revenue Commissioners; Analysis by Department of Finance

As depicted in **figure 8A**, claimants with a gross income between €30,000 and €40,000 represent the largest share (19 per cent, equivalent to 59,610 taxpayer units) of RTC claimants, and cumulatively more than half of the RTC claimants have a gross income lower than €40,000. Claimants reporting a gross income larger than €100,000 account for 23,090, representing 7 per cent of all claimants.¹⁹

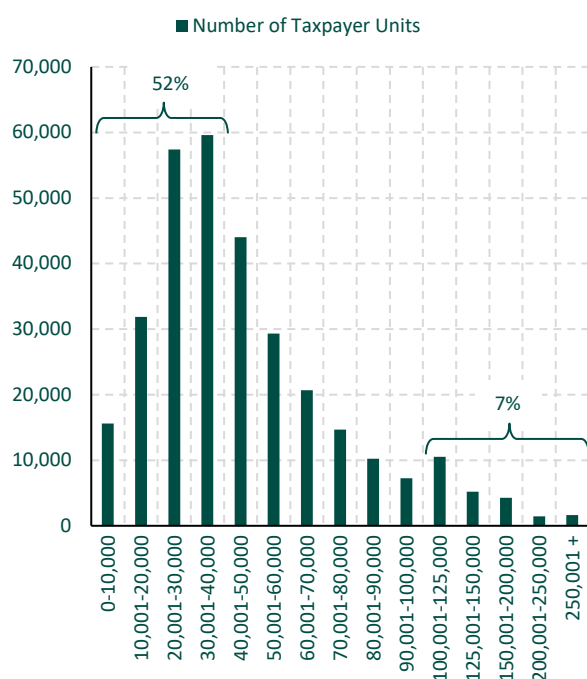
Differences exist across income groups in terms of rate of tax credit used, with claimants reporting lower gross incomes also showing lower rates of credit used over the total claimed; for instance, in **figure 8B** less than 3 per cent of credit claimed by the €0–€10,000 income group is actually used, and this share increases to 21 per cent, to 91 per cent, and then to 95 per cent for the €10,001–€20,000, €20,001–€30,000, and the €30,001–€40,000 income groups, respectively. The gap between credit claimed and credit used then gradually disappears for gross incomes larger than €40,000. This likely reflects the fact that taxpayers reporting lower incomes do not necessarily pay enough tax to fully benefit from the entire relief, or that other tax credits and reliefs already reduce their tax liability to zero.

¹⁸ See also [Results and Analysis Distribution of Earnings by Gender and County 2023 - Central Statistics Office](#)

¹⁹ As this is on a taxpayer unit basis, this could also represent a couple on cumulative income of over €100,000.

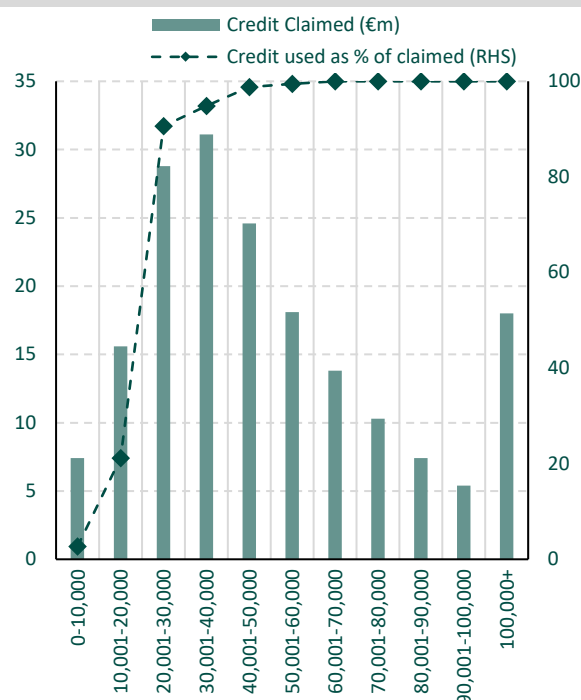
Figure 8: Claimants and beneficiaries of RTC by income group, 2022

A: number of claimants by income group



Note: Number of claimants represented is 313,770 (i.e., around 100 per cent of the RTC claimants).

B: credit claimed and used by income group



Note: Tot. represented claimed amount is €180.4m, corresponding to 313,770 claimants (i.e., around 100 per cent of the RTC claimants).

Source: Revenue Commissioners; Analysis by Department of Finance.

Figure 9 provides information about annual rent paid by claimants, which was available for around 61 per cent of the total population of claimants – that is, slightly more than 191,000 taxpayer units. Half of the claimants are concentrated in the lower end of the rental distribution and reported paying rent of less than €8,000 a year – which is substantially lower than the average annual rent price. However, it is interesting to observe that a third of the claimants report paying rents higher than €10,000 a year; in particular, 7 per cent of all claimants indicate they spend €20,000 or more annually on their rent.²⁰

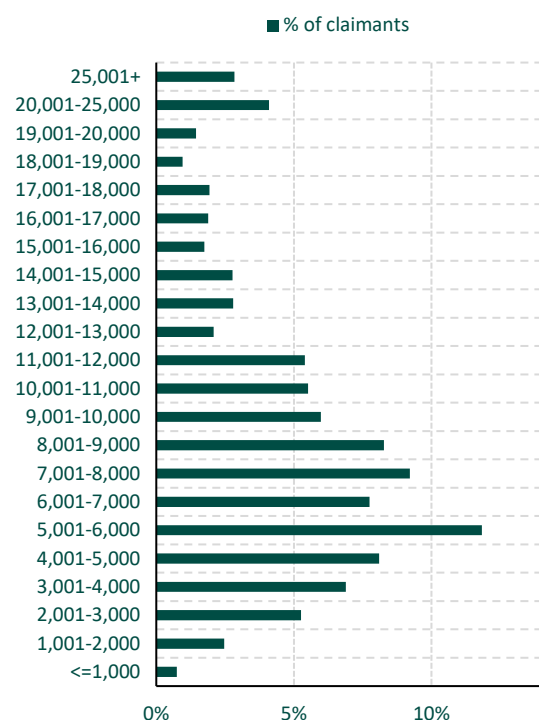
On average, almost 90 per cent of the claimants whose details on rent paid are available become beneficiaries of the RTC. Differences exist across bands of annual rent paid, with claimants paying lower rent also showing lower rates of actual access to the tax credit; for instance, 66 per cent of claimants paying annual rent between €1,000 and €2,000 are beneficiaries, while the share increases to 95 per cent for claimants paying annual rent between €20,000 and €25,000.

Some factors to take into account when interpreting **figure 9** are the low availability of data (i.e., available for less than two thirds of RTC claimants), the absence of cross-linkage with identifiers (for instance, the PPSN of the landlord and the RTB number are not mandatory fields), and the lack of information about whom among the respondents lives in shared accommodation, or in long-tenancies in rent pressure zones properties – hence, possibly rented at lower-than-average price.

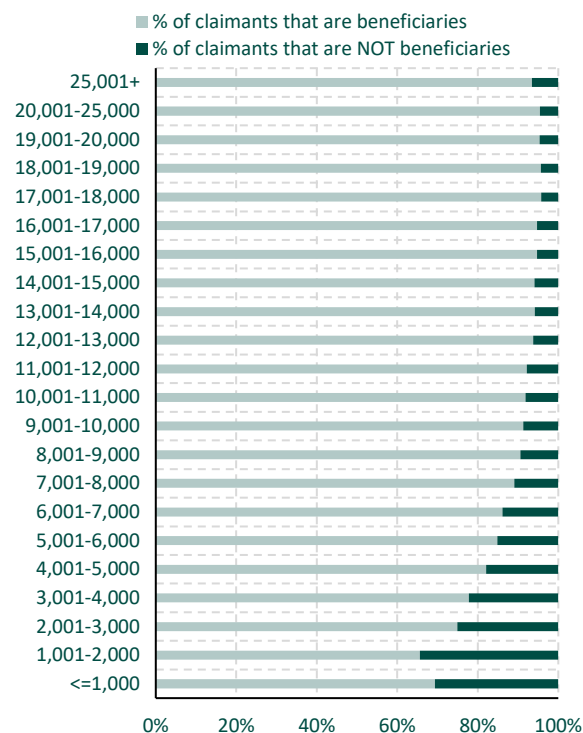
²⁰ It should be noted that this is self-reported information. Moreover, since renters could claim 20 per cent of the total annual rent up to a maximum credit of €500 (for single assessed taxpayers), claimants might be indifferent between reporting annual rents of €2,500 and any amount paid in excess of.

Figure 9: Claimants and beneficiaries of RTC by rent paid, 2022

A: shares of total claimants by rent paid (€)



B: shares of beneficiaries over claimants by rent paid (€)



Note: Number of claimants represented is 191,077 (i.e., around 61 per cent of the RTC claimants).

Source: Revenue Commissioners; Analysis by Department of Finance.

4.3. Policy modelling - SWITCH

The Department's *Statement of Strategy 2025-2028* commits to advise and implement economic policies that promote improved living standards, stability and job creation. Central to this is the development of a robust evidence base; so, in 2024, the Department published the updated guidelines setting out best practice for both *ex ante* and *ex post* evaluations of tax expenditures, including consideration of how tax policies impact equality.

Distributional impact assessment is one means of assessing this, thus informing tax policy development. Specifically, the analysis identifies the impact of potential and actual measures across different income groups, household types and other socio-economic factors (e.g., gender, inequality, disability status). It is an analytical approach with a long history of use in Ireland to inform budgetary policy and its importance is also emphasised internationally. For instance, there is a requirement at the EU level for Member States to, where possible, provide information on the distributional effects of budgetary measures in their *Draft Budgetary Plan*.

The distributional impact assessment of the RTC is conducted using the ESRI's "Simulating Welfare, Income Tax Childcare and Health policies" (SWITCH) tax-benefit model²¹ and is similar to the approach used in the distributional analysis of budgetary tax and welfare changes in

²¹ The analysis is undertaken using the ESRI's SWITCH 7.0 micro-simulation model. Information on the design, underlying data and SWITCH model construction can be found at: www.esri.ie/switch

Beyond GDP.²² It is conducted by measuring the effect of changes to the RTC policy – ceteris paribus – and its impact on equivalised disposable income²³ groups, defined by income deciles.²⁴

The SWITCH model used to assess the distributional impact of changes to the existing RTC is based on 2025 taxpayer-unit data derived from the Survey on Income and Living Conditions (SILC).²⁵ All taxpayer units that are potentially eligible are considered as recipients of the relief for the amount they are entitled to – that is, the SWITCH model does not account for non-take up. It replicates the RTC eligibility conditions; namely, (i) being in private rented accommodation, (ii) having positive taxable income, and (iii) not being a recipient of State housing support schemes. Inflation is not modelled.

Aggregate population effects – e.g., the distributional impacts are assessed against those that do and do not receive the credit – and the following scenarios are analysed:

- > Introduction of the current RTC rate of €1,000 per single person from a situation where there is no RTC.
- > The RTC is incrementally increased over a number of years to €1,500, then to €2,000, and to €2,500.

It is important to mention that in the following analysis SWITCH only reports the impact where there are sufficient cases available in the relevant category, while reporting no impact for others. This is due to statistical disclosure rules where categories are associated with too few cases.

Initially, the analysis focuses on the taxpayers who gain from the introduction of the RTC valued at €1,000, which the model estimates to be around 16 per cent of all taxpayers. By its construct, it would be expected that working age recipients who have taxable income would gain most from RTC. In line with this, the SWITCH model's output shows that the introduction of a €1,000 per person RTC would mostly benefit taxpayer units in working age cohorts²⁶ without children (**figure 10A**). Indeed, they would see their equivalised disposable income increase by around 2.4 per cent on average – slightly higher than working-age couples with children, reporting a 2.3 per cent increase in their disposable income.

Impact by gender is provided across income quintiles.²⁷ Lowest quintiles typically fall outside the tax net: in fact, only taxpayer units from quintile 3 upwards (weekly disposable income larger than €460.67) would benefit from the introduction of the €1,000 RTC, and those ones in quintile 3 would benefit most (**figure 10B**).

²² Budget 2025 Beyond GDP – Quality of life Assessment. Available from:

<https://www.gov.ie/pdf/?file=https://assets.gov.ie/306472/58c87f3a-c9fd-4a6a-901a-4aceedb61e47.pdf#page=null>

²³ The 'equivalised' disposable income is the total disposable income of each household divided by the equivalised household size using the National or OECD equivalence scale depending on where the data will be used. See also [Survey on Income and Living Conditions Explained - CSO - Central Statistics Office](#)

²⁴ Income deciles refer to groups of ten equal-size groups of households, where each group contains 10 per cent of households. The first decile contains the 10 per cent of households with the lowest gross household income, while the tenth decile refers to the 10 per cent of households with the highest household income.

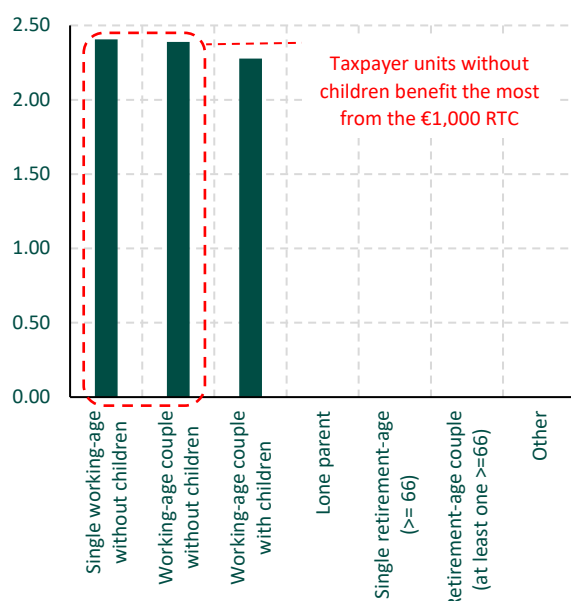
²⁵ While this is based on SILC 2023 (income data from 2022), it has been uprated to 2025.

²⁶ Aged between 18 and 65 years old.

²⁷ Quintiles are defined as weekly equivalised disposable income up to: €313.00 (Quintile 1); €460.67 (Quintile 2); €596.60 (Quintile 3); €805.66 (Quintile 4); and over €805.66 (Quintile 5).

Figure 10: Change in claimants' disposable income from introducing a €1,000 RTC

A: by family type, per cent disposable income



B: by gender, per cent disposable income



Note: The graphs capture changing the RTC rate from €0 to €1,000. The reference population is the one of eligible claimants only (ca 438,000). Under statistical disclosure rules, some categories show zero values because they are associated with too few cases.

Source: SWITCH; Analysis by Department of Finance

Further analysis examines the distributional impact of subsequent increases of the RTC across different income deciles.²⁸ This analysis in the first instance considers how the income effect is distributed across all taxpayer units, irrespective of them being eligible claimants or not, and this type of information is useful to derive the overall impact of the policy instrument on the population. The output from the SWITCH model shows that those in decile 6 would be the ones benefitting the most from the subsequent increases in the RTC amount. Moreover, the first two deciles would not experience any income increase from RTC getting higher than €1,000, while deciles from the sixth upwards would still report substantial relative gains from all subsequent RTC variations. This reflects the progressive nature of the income tax system, with people in lower income deciles paying less income tax, hence benefitting less from the RTC. It is also worth mentioning that although the amount of RTC is smaller for those who pay less tax, their proportional gain (as percentage of their overall income) could be larger than those of the highest deciles (**figure 11A**).

Focusing on eligible claimants, there are too few cases in the first three deciles for SWITCH to report the impact of the RTC. For the same reason, no impact is reported for RTC increases larger than €1,000 in deciles 4 and 5. In fact, gains from RTC increases larger than €1,000 are evident in decile 6 and above, where weekly equivalised disposable income is greater than c. €600 per week (corresponding to annual equivalised disposable incomes larger than €31,200).

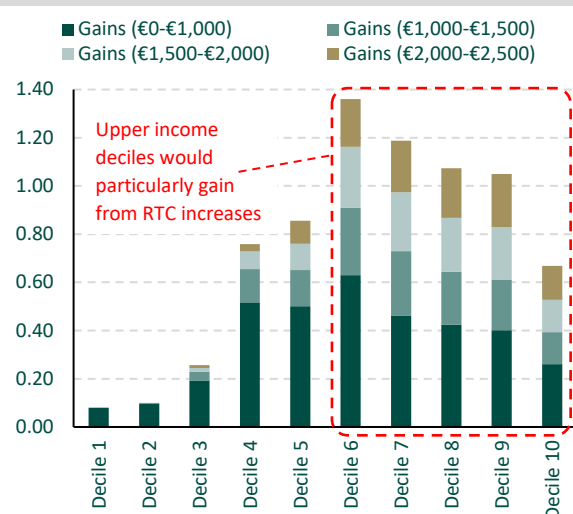
As the RTC amount is increased, additional monetary gain (as percentage of income) seems to be gradually absorbed, but remains significant particularly for the highest deciles. Due to the movement of individuals into higher income deciles the more their income increases, it is partly expected that incremental increases in RTC could benefit those with higher incomes. However, results from the

²⁸ Deciles are defined as weekly equivalised disposable income up to the following ranges (slight changes depending on the RTC variation): €245.07-€245.28 (Decile 1); €313.00 (Decile 2); €381.40- €383.42 (Decile 3); €460.67- €465.66 (Decile 4); €523.72- €527.23 (Decile 5); €596.60- €605.62 (Decile 6); €687.39-€694.15 (Decile 7); €805.66- €813.69 (Decile 8); €1,004.56- €1,011.66 (Decile 9); and over €1,004.56- €1,011.66 (Decile 10).

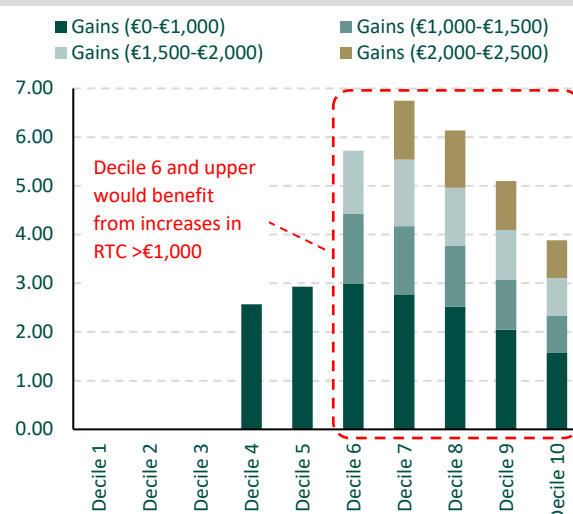
SWITCH analysis also confirm that taxpayer units in middle deciles (from the fourth to the sixth) get gradually excluded from experiencing any gain of the incremental expansion of the RTC.

Figure 11: Change in disposable income by gradually increasing the RTC

A: by income decile, whole population (per cent)



B: by income decile, eligible claimants only (per cent)



Note: The reference population is all taxpayer units in **figure A** and potential beneficiaries only in **figure B** (totals change depending on the RTC variation). Under statistical disclosure rules, some categories show zero values because they are associated with too few cases.

Source: SWITCH; Analysis by Department of Finance

In terms of the target of the policy instrument, the SWITCH model estimates that the total number of potential claimants would be 438,000 with a €1,000 RTC. Not surprisingly, this pool decreases as the amount of RTC increases.²⁹ While the RTC rate increases, the maximum number of claimants remains stable in the highest deciles (from 7th to 10th). Deciles from the sixth downwards, instead, would be gradually left out of further RTC increases (**figure 12A**).

The reduction in the pool of potential claimants is reflected in the incremental exchequer cost, which gets lower the higher the RTC amount (**figure 12B**). However, any consideration on the exchequer cost derived from the SWITCH output should include the assumptions and features underlying the model, which may not align with realistic estimates of past and future costs of the RTC policy instrument (**table 2**).

For instance, the number of potential taxpayer-unit claimants with the introduction of a €500 RTC stands at 434,000 in the SWITCH model³⁰, while the original estimate was 400,000 individuals prior to the introduction of the first relief in 2022.³¹ The original estimated cost in the same year was €200 million, whereas in the SWITCH model it stands at €246 million. These different figures could be partly explained by different data sources being used to estimate the original claimant numbers, in addition to the fact that the SWITCH model uprates the underlying data to 2025 levels and assumes a 100 per

²⁹ Namely, the total number of taxpayer units affected by changes in RTC would decrease from 438,000 (€0-€1,000 RTC), to 361,000 (€1,000-€1,500 RTC), then to 340,000 (€1,500-€2,000 RTC), and finally to 313,000 (€2,000-€2,500 RTC).

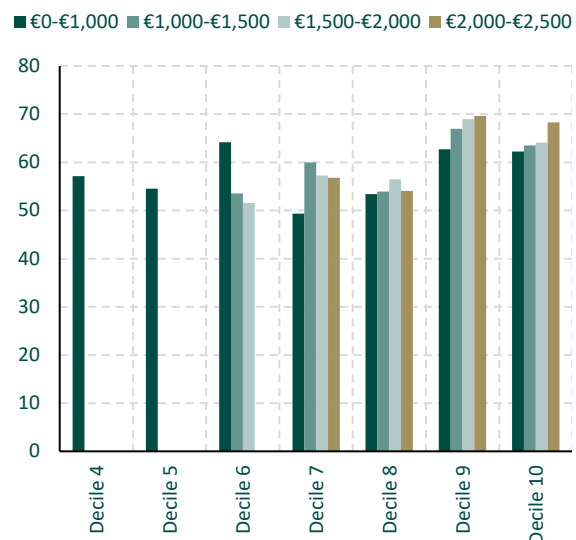
³⁰ A possible reason why the number of potential claimants is slightly lower with the introduction of a €500 RTC (434,000) rather than a €1,000 RTC (438,000) is that the SWITCH model captures the impact of the RTC along with its interactions with welfare supports and other benefits.

³¹ The actual number of claimants was 313,980 in 2022, with 273,160 claimants being able to use the relief (beneficiaries).

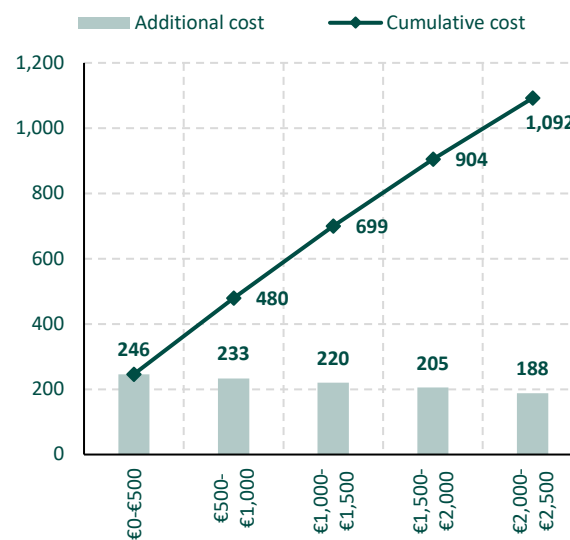
cent take up rate. Indeed, original estimate values date back to 2022, and the population of eligible claimants has likely increased in the meantime.

Figure 12: Change in claimants and exchequer cost by gradually expanding the RTC

A: number of potential claimants by income decile ('000)



B: indicative exchequer cost of RTC (€m)



Note: The reference population is eligible claimants only (totals change depending on the RTC variation). Under statistical disclosure rules, some categories (i.e., Deciles 1, 2, and 3 in figure A) show zero values because they are associated with too few cases.

Source: SWITCH; Analysis by Department of Finance

Table 2: Estimated cost of the RTC (€m)

	2022	2023	2024	2025	Total
Budget estimates	200	200	350	350	1,100
Actual outturn	156	184			

Note: Data on RTC cost for 2022 and 2023 is available and accounts for €156 million and €184 million, respectively.³² Realised cost for years 2024-2025 is not available yet at the time of publication.

Source: Revenue Commissioners; Department of Finance

³² [Cost of Tax Expenditures](#)

Section 5: Discussion of the main findings

The first evidence gathered through Revenue data provide a description of who the claimants of the RTC are and how much they claimed in the inception year of the scheme. These findings, together with the distributional analysis conducted with the SWITCH model, allow for initial conclusions on the findings to be derived.

1. Effectiveness

Latest data shows that individuals claiming the RTC in 2022 were more than 90 per cent of the estimate of 400,000 beneficiaries made at the time of its introduction, resulting in a very high take up rate. However, the available data does not provide any detail into the magnitude and distribution of the actual benefit experienced by RTC claimants in making rent payment more affordable.

2. Efficiency

The actual cost of the first year of the RTC being in place was €156 million. Since 2022, the relief has gradually increased to double its initial amount and a cumulative cost of €1.1 billion is estimated for the period 2022-2025. The estimate cost for 2024 and 2025 is €350 million, which would make the RTC one of the top ten costing tax expenditures³³ after the R&D tax credit, pensions relief and other large costing tax expenditures. In addition to this, population projections suggest that more renters would potentially claim the RTC in the future, while the commitment to expand and prolong the policy instrument mean the exchequer cost is likely to get significantly higher in the years to come. Based on the projections (**figure 1B**) the number of private rented households will rise by 27 per cent between 2024 and 2035 – translating into a potential annual cost of approximately €450 million per annum.³⁴

3. Deadweight

Administrative statistics from Revenue reveal that around 7 per cent of the RTC claimants report a relatively high annual gross income (equal or higher than €100,000)³⁵, posing some concerns in terms of deadweight and the ability of these claimants to afford their rent even in absence of the RTC relief. Another potential source of deadweight is represented by RTC beneficiaries in long-tenancies³⁶ in rent pressure zones, benefitting from rent prices substantially lower than the average and those paid for by new renters – however, data currently available is not detailed enough to assess this hypothesis. Furthermore, the lack of targeted beneficiaries and the significant exchequer cost raise concerns about the suitability of the RTC as tax expenditure rather than a direct expenditure.³⁷

4. Regressivity

The figures obtained through Revenue provide some evidence of the RTC easing the cost burden particularly of younger renters (those aged between 20 and 40 years) and of the lower-middle income

³³ See also “Tax Expenditures in Ireland – 2024 Report” available at <https://assets.gov.ie/static/documents/tax-expenditures-in-ireland-2024-report.pdf>

³⁴ Basic calculations based on a 27 per cent increase in the current estimated cost of €353 million for 2024.

³⁵ It should be noted that RTC claimants are considered at taxpayer-unit basis, which include also jointly assessed couples. As such, this could also represent a couple on cumulative income of over €100,000 – see also **footnote 17**.

³⁶ RTB survey data report that of the 1,200 tenants being interviewed between 2022 and 2023, almost 20 per cent were in their current tenancies for longer than 5 years. See also <https://www.rtb.ie/about-rtb/data-insights/data-hub/private-rented-tenants-profile-rtb-rental-sector-survey>

³⁷ According to the [Tax Expenditures Evaluation Updated Guidelines](#), “tax expenditures should be used in limited circumstances where a demonstrable market failure exists and the measure is more efficient than a direct expenditure intervention. Poorly targeted or otherwise unaffordable tax reliefs should be curtailed and time-limited [...]” (p.2)

brackets (between €20,000 and €50,000 annual gross income). However, the distributional analysis conducted with the SWITCH models shows that further increases of the RTC relief would mostly benefit the highest income deciles, while deciles lower than the sixth would be gradually cut out from the population of claimants benefitting from additional amounts of the RTC.

5. Equality and environmental impact

In the first year of the RTC being in place, men tended to claim and benefit more than women from the relief. The difference between genders is not substantial and could be explained by earnings of women being on average lower than those of men, or potentially that men are more likely to be the assessable spouse. However, when focussing on the taxpayers who are single – which consist in two thirds of all claimants and are likely to be the majority among the population of renters – there is no evidence of differences across genders, which is also confirmed by the output of the SWITCH model. There is no further data available to assess the impact of the policy instrument under an environmental perspective or other equality dimensions.

6. Market failure

The policy appears to address the symptoms but not the root causes of the rental market crisis (i.e., lack of housing supply in particular rental accommodation). This poses questions about the opportunity cost of exchequer money which could be directed towards alternative policy instruments to advance the supply of rental homes across the country. Increasing housing supply to meet demand is the key to price moderation and improving affordability across all tenures. As such, resources may be better spent on alternatives, such as directly building social and affordable housing, increasing expenditure on one of the existing affordability schemes, or addressing some of the structural barriers to supply – like inadequate infrastructure.

7. Data availability

The available administrative statistics provide useful insights into some of the features of the taxpayer units claiming the RTC. However, the current analysis is based on the first year of the relief being in place – that is, 2022 – which does not allow the effect of the RTC being increased to €1,000 for single taxpayers in the meantime to be captured. Further analysis over a longer timeframe would support in depicting a detailed profile of the RTC claimants and therefore provide a better assessment of the impact of the policy instrument. Moreover, reliable data is essential when evaluating a policy instrument. While the compilation of the RTC administrative data does not pose major issues to accuracy or robustness, certain gaps remain due to the design of the application process. Specifically, certain fields are not mandatory – such as further detail on the applicant and/or landlord – when claiming the credit, hence limiting the completeness of the dataset for review purposes.

Section 6: Conclusions

The RTC was introduced as a mean to alleviate the rising cost of living faced by renters, in the midst of the ongoing pressures in the rental market. With stagnating rental supply and increasing demand for rented accommodation, affordability has become an issue for many renters, particularly those in new tenancies.

Evidence from the analysis of administrative data illustrates that the RTC is a popular policy instrument among taxpayers, as nine out of ten eligible people claimed the relief in its first year of operation. Data provided from Revenue also reveal that young adults, singles, persons living in Dublin and with an annual income between €20,000 and €50,000 are the most likely to claim the RTC and benefit from it – although not always in its full amount – which suggests that those possibly most in need of such support are indeed availing of it.

However, findings from this Review also reveal that a non-negligible share of claimants are from higher income deciles, and potential increases in the RTC would be mostly – if not exclusively – absorbed by high income deciles with no additional benefit for the lowest ones, posing concerns about deadweight and likely regressivity effect of the policy instrument.

Since 2022, the relief amount has already doubled and it is estimated that the RTC has likely become one of the top ten costing tax expenditures. The Government’s commitment to “progressively increase” the RTC would represent even higher costs for the Exchequer, unsupported by clear evidence of the policy instrument’s effectiveness in addressing the underlying market failure. Indeed, the policy seems to address the symptoms but not the root causes of the rental market crisis (i.e., lack of housing supply), which poses questions about the opportunity to target Exchequer money towards alternative policy instruments to advance the supply of houses across the country.

In sum, this review provides insightful evidence about the policy instrument’s coverage and potential distributional impact. However, data limitations prevent a definitive picture of the effectiveness, efficiency, appropriateness and value-for-money of the scheme in line with the updated “Guidelines for Tax Expenditure Evaluation”. Due to the availability of existing data, an improvement in data capture would be recommended to ensure a timely, reliable, and accurate assessment of the RTC.



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